

Non-operating Expenses

This mainly includes finance costs which, as seen as a percentage of revenue, have almost doubled in the last 3 years.

Non-operating expenses-						
Finance Costs	0.23%	0.23%	0.25%	0.37%	0.47%	0.51%
Other non-operating						
#1						
#2						
Total Non-operating Expenses						

It is possible that the company has taken short-term loans to finance the assets it bought. It is important to know what the company is doing with the money, for which we can check the cash flow statement. The statement will show where the cash is coming from and where it is being spent. Also, in the Balance Sheet, we can check the liabilities and assets being created.

Also, we see that the company's finance cost as a percentage of revenue is fairly small which means that interest payments are not a problem for the company.

Profit Before Taxes

$$\text{PBT} = \text{EBIT} + \text{Non-Operating Revenue} - \text{Finance Costs}$$

Non-operating expenses-						
Finance Costs	0.23%	0.23%	0.25%	0.37%	0.47%	0.51%
Other non-operating						
#1						
#2						
Total Non-operating Expenses						
PBT	20%	21%	22%	19%	21%	21%

This is the earnings before Taxes. In our case, we will include Non-operating Revenue and deduct Finance Costs from EBIT to arrive at Profit Before Taxes.

PBT margins have stayed stable between 19-22%. We see that PBT margins in the COVID affected years was stable despite the company reducing Advertising and Traveling expenses. The margins may go down when these expenses come back to normal levels. However, when that happens, Revenue from operations should also come back to normalcy. We need to keep a close eye on company's margins.